

With Jeffrey Oxman and Sunil Mohanty, I tested the performance of Graham's net current asset value strategy over the 25 years from the end of Oppenheimer's data in December 31, 1983 to December 31, 2008.¹⁸ We found the net current asset value rule returned on average 35.3 percent yearly for the full period, outperforming the market by an average of 22.4 percent yearly, and a comparable Small Firm Index portfolio by an average of 16.9 percent yearly. The fewest selections were found in 1984, with only 13 stocks meeting the criteria. We found the most in 2002, when 152 stocks met Graham's rule. These are astonishing returns, and they are not unique to the United States.

Other studies of Graham's net current asset value rule have found the same market-beating form in major international markets. A study of the Japanese market from 1975 to 1988 found that Graham's criterion led to average returns in excess of the market of approximately 13 percent per year.¹⁹ A similar study of net-net stocks listed on the London Stock Exchange over the period 1981 to 2005 found average returns in excess of the market of 19.7 percent per year.²⁰ The paper, from the business school of the University of Salford in the United Kingdom, reported that stocks selected using Graham's strategy substantially outperformed the London Stock Exchange main market over holding periods of up to five years. Adopting Oppenheimer's method, the authors found that £1 million invested in the net current asset value portfolio starting on July 1, 1981, would have increased to £432 million by June 2005, which is an extraordinary 29 percent per year compounded. By comparison, £1 million invested in the entire UK market would have increased to £34 million by the end of June 2005.

Behavioral finance expert and value investor James Montier examined the returns to a strategy that purchased a portfolio of net-net stocks in all developed markets globally over the period 1985 to 2007.²¹ Montier found that the strategy averaged an outstanding 35 percent per year, beating a comparable market portfolio return of 17 percent per year. An annual return of 35 percent over 23 years puts the strategy in elite company indeed. Montier's findings point to some of the common characteristics of net-net portfolios. First, the median portfolio contained 65 stocks, indicating that the universe for net-net stocks globally is relatively few in number. He also found the median market capitalization of net-net stocks in the portfolio to be U.S. \$21 million, indicating that the portfolios tended to contain small-to-micro capitalization stocks. Of course, not all net nets are tiny. Apple, Inc. (Nasdaq:AAPL) was a net net in 2002, trading at a split-adjusted \$7 per share in October of that year, which gave it a market capitalization of a little over \$2.5 billion. At the time it possessed \$7.80 per share in cash net of all debt, and was profitable. Ten years later in October 2012 it would trade at \$700 per share, close to its all-time peak, and up